FALLEN EMPIRES

Coffee Meets Bagel: the Shark Tank deal sheet

The deal at a glance

- **Show:** Shark Tank US, Season 6 (aired January 9, 2015)
- **The ask:** $500,000 for 5% of the company, which values it at $10 million ($500,000 ÷ 5%)
- **The offer:** Mark Cuban offered $30 million to buy the entire company, reported as the largest offer in the show's history at the time. Some outlets note it may have been more hypothetical than a firm offer.
- **The answer:** the founders, the Kang sisters, declined right away
- **After the show:** a $7.8 million Series A in 2015, led by DCM Ventures, with Azure Capital and Quest Ventures
- **Today:** the app is still operating on iOS and Android

3 things this case shows

1. **Know your upside before you sell.** The founders said the market offered a far bigger opportunity than a $30 million exit.
2. **A refusal can be followed by outside funding.** Within weeks of the episode, venture investors put in $7.8 million.
3. **Valuation is just price divided by share.** $500,000 for 5% means $10 million. A buyout of 100% for $30 million is a different kind of deal.

2 mistakes to avoid

1. **Reading one headline number as the whole story.** Reports disagree on how firm the $30 million offer really was.
2. **Assuming a refusal always works out.** This case is one outcome, not a rule. The company is still running, but this guide makes no claim about revenue or valuation.

Glossary

- **Valuation:** what a company is worth, implied by the price paid for a share of it.
- **Equity:** the percentage of the company an investor owns.
- **Series A:** a first major round of venture funding.
- **Buyout / acquisition:** buying 100% of a company.

Sources

- Slashgear, "What happened to the Coffee Meets Bagel app from Shark Tank Season 6"
- Global Dating Insights, "After turning down $30M Shark Tank offer, Coffee Meets Bagel raises $7.8M in funding" (Feb 19, 2015)
- Inc., "Why These Entrepreneurs Turned Down $30 Million From Mark Cuban"
- The Fiscal Times, "The Startup That Turned Down $30 Million from Mark Cuban" (2015)

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